simply buying a low-cost bond fund and leaving the painstaking labor of credit research to its managers. For more on bond funds, see the commentary on Chapter 4.

* By “junior stock issues” Graham means shares of common stock. Preferred stock is considered “senior” to common stock because the company must pay all dividends on the preferred before paying any dividends on the common.

* After investors lost billions of dollars on the shares of recklessly assembled utility companies in 1929–1932, Congress authorized the SEC to regulate the issuance of utility stocks under the Public Utility Holding Company Act of 1935.

* In more recent years, most mutual funds have almost robotically mimicked the Standard & Poor’s 500-stock index, lest any different holdings cause their returns to deviate from that of the index. In a countertrend, some fund companies have launched what they call “focused” portfolios, which own 25 to 50 stocks that the managers declare to be their “best ideas.” That leaves investors wondering whether the other funds run by the same managers contain their worst ideas. Considering that most of the “best idea” funds do not markedly outperform the averages, investors are also entitled to wonder whether the managers’ ideas are even worth having in the first place. For indisputably skilled investors like Warren Buffett, wide diversification would be foolish, since it would water down the concentrated force of a few great ideas. But for the typical fund manager or individual investor, *not* diversifying is foolish, since it is so difficult to select a limited number of stocks that will include most winners and exclude most losers. As you own more stocks, the damage any single loser can cause will decline, and the odds of owning all the big winners will rise. The ideal choice for most investors is a total stock market index fund, a low-cost way to hold every stock worth owning.

* Graham’s point about chemical and oil companies in the 1960s applies to nearly every industry in nearly every time period. Wall Street’s consensus view of the future for any given sector is usually either too optimistic or too pessimistic. Worse, the consensus is at its most cheery just when the stocks are most overpriced—and gloomiest just when they are cheapest. The most recent example, of course, is technology and telecommunications stocks, which hit record highs when their future seemed brightest in 1999 and early 2000, and then crashed all the way through 2002. History proves that Wall Street’s “expert” forecasters are equally inept at predicting the performance of 1) the market as a whole, 2) industry sectors, and 3) specific stocks. As Graham points out, the odds that individual investors can do any better are not good. The intelligent investor excels by making decisions that are not dependent on the accuracy of anybody’s forecasts, including his or her own. (See Chapter 8.)